Poverty

1. Meaning, causes and types

- **Poverty:** deprivation of resources and capabilities needed for basic food, clothing, shelter, health, education and a dignified life. India's traditional monetary measure focuses on a **minimum living standard**, not a comfortable lifestyle.
- Causes interact: colonial legacy; low productivity and underemployment; unequal income/assets; rural–urban and regional divides; weak education/health; exclusion and rigid social structures; infrastructure/resource constraints; demographic pressure without adequate jobs.
- **Relative poverty:** deprivation compared with prevailing living standards, often measured against a fraction of median income. Related to inequality, but **poverty and inequality are not identical**.

Type	Quick distinction
Absolute	Below an explicit basic-needs threshold
Situational / transient	Shock such as illness, job loss, disaster, crop failure or death of an earner; may recover
Generational	Poverty transmitted across two or more generations
Chronic	Long-lasting deprivation; limited routes out
Churning	Repeated movement into and out of poverty
Non-financial	Deprivation in education, health, housing or services
Secondary	Historical label for inadequate basic consumption despite potentially sufficient resources; spending choices are only one possible cause, not an explanation of all poverty

- **17 October:** International Day for the Eradication of Poverty; origins **1987**, UN designation **1992**—the book conflates these. UN background

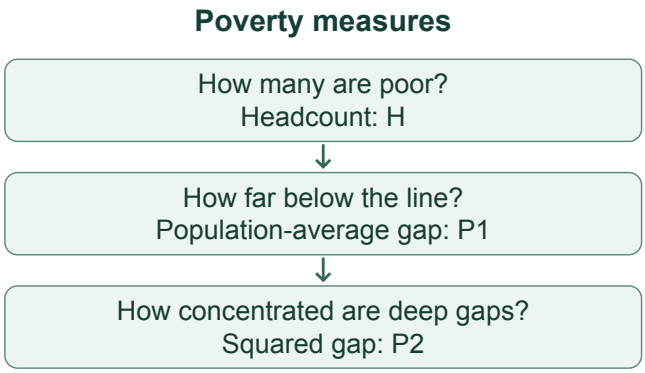
2. Monetary poverty: line, incidence, depth and severity

- **Poverty line (z):** monetary cost of a specified minimum basket, expressed per person for a defined period. Historical calorie norms helped price baskets; a calorie norm and a monetary poverty line are different units.
- Lines differ across countries, States and rural/urban areas because baskets, needs and **prices** differ. ₹47/day in the book is a historical illustration, not a present nationwide threshold.
- **Consumption preferred in Indian surveys:** informal incomes fluctuate and are hard to record; consumption better reflects sustained living standards, though recall, valuation and survey comparability still matter.

- Planning Commission historically published monetary estimates using **NSS household consumption data**. **NSO/MoSPI conducts consumption surveys; NITI Aayog publishes national MPI**. Data collection, poverty estimation and beneficiary identification are different tasks.

Measure	Formula / meaning	Limitation or use
Headcount H	**q / N**; ×100 for %	Counts poor, ignores distance below line
Mean gap among poor I	Average of **$(z - y_i)/z$** over poor people	How far the average poor person falls short
Poverty gap P_1	**$(1/N)\ \Sigma_{poor}\ [(z - y_i)/z] = H \times I$**	Population-average depth; non-poor have zero gap
Squared gap P_2	**$(1/N)\ \Sigma_{poor}\ [(z - y_i)/z]^2$**	Greater sensitivity to deepest deprivation

- **Example:** z = ₹400, average poor consumption = ₹330 → **I = 17.5%**. If H = 20%, **P_1 = 3.5%**, not 17.5%. Use fractions in multiplication.
- Theoretical perfectly targeted transfer needed = **$N \times z \times P_1$** for the same period; actual programmes also have delivery costs, errors and behavioural effects. Squaring gaps does not itself create an entitlement to higher assistance.
- **HCR example:** 13.31 crore / 121 crore ×100 = **11%**; incidence is not the absolute number of poor.



Incidence, depth and severity answer different questions.

3. Consumption recall: URP, MRP and MMRP

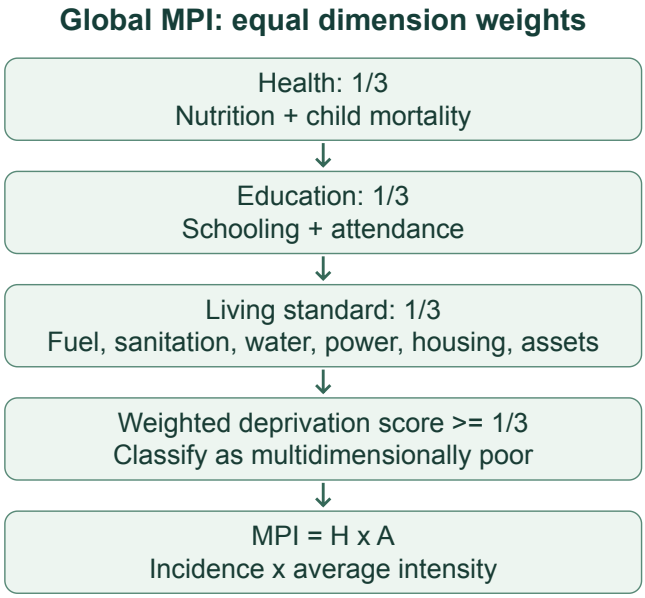
Method	Recall periods
URP	**30 days for all items**
MRP	**365 days:** clothing, footwear, durables, education, institutional medical care; **30 days:** remaining items
MMRP	**7 days:** selected frequently consumed items; **365 days:** infrequent items above; **30 days:** remaining items

- **HCES 2023–24 seven-day list:** edible oil; egg/fish/meat; **milk and milk products**; vegetables, fruits, spices; beverages/processed foods; pan/tobacco/intoxicants.

- Thirty days: other food, fuel/light, miscellaneous services including non-hospital medical care and rent. Annual group includes clothing/bedding, footwear, education, hospital care and durables. MoSPI survey definitions
- MMRP was used in **2009–10 and 2011–12** consumption schedules and is used in recent HCES; book's **2010–11** and “all current estimates use MRP” are misleading.
- Shorter recall can raise reported frequent consumption and change poverty estimates. **URP > MRP > MMRP poverty is not a mathematical law**; also check basket, price adjustments, survey design and poverty line.

4. Global Multidimensional Poverty Index

- **UNDP + OPHI**, first introduced **2010**, replacing the Human Poverty Index in global reporting. Measures **acute overlapping deprivations**, complements monetary poverty; not a dollar income line.
- **Alkire–Foster method; 3 dimensions, 10 indicators; each dimension weight 1/3.** Household deprivation status is assigned to members, then aggregated to people.
- **Poor:** weighted deprivation score **at least 1/3**. **MPI = H × A**, where H = population share poor and A = average weighted deprivation among poor; use fractions, not raw percentage numbers.
- Vulnerable: score **20% to below 1/3**; severe multidimensional poverty: **at least 1/2**.



Three dimensions; ten indicators; poverty cutoff one-third.

Dimension / weight	Deprivation indicator and condition
Health: each 1/6	**Nutrition:** eligible adult under 70 or child with nutrition information undernourished; not only stunting
Health: each 1/6	**Child mortality:** child under 18 died in preceding five years
Education: each 1/6	**Schooling:** no member of school-entry-age + six or older completed six years
Education: each 1/6	**Attendance:** school-age child not attending up to age for completing class VIII
Living standard: each 1/18	**Fuel:** dung, wood, charcoal or coal
Living standard: each 1/18	**Sanitation:** unimproved, or improved but shared
Living standard: each 1/18	**Water:** unimproved source, or improved source ≥30-minute round trip
Living standard: each 1/18	**Electricity:** none
Living standard: each 1/18	**Housing:** inadequate floor, roof or walls
Living standard: each 1/18	**Assets:** at most one listed small asset and no car/truck; owning one radio alone does not remove deprivation

- Small assets: radio, TV, telephone, computer, animal cart, bicycle, motorcycle, refrigerator. The book's “owns none” criterion is too narrow.
- SDG links: nutrition **2**, health **3**, education **4**, water/sanitation **6**, energy **7**, housing **11**, poverty/assets **1**. UNDP indicators
- **2025 global report: 109 countries / 6.3 billion people; 1.1 billion poor (18.3%)**, about two-thirds in middle-income countries. Survey years differ; these are not one global 2023 census. Common deficits: fuel, housing, sanitation and nutrition. Book's **83.7% rural** statistic needs its original report/period; do not present it as an independently verified 2025 update.
- Climate shocks and conflict compound deprivation; higher poverty in conflict settings is an association, not proof every indicator is worse in every country. Global MPI FAQ

5. India: keep monetary, global MPI and national MPI separate

Measure and period	Figure to recall
World Bank old $2.15 line, 2017 PPP; 2022–23	**2.3%**, book's dated series
World Bank $3 line, 2021 PPP; 2022–23	**5.3%**
World Bank $3 line, 2021 PPP; 2023–24	**2.6%**, April 2026 Development Update
Global MPI 2025; India survey 2019–21	**H 16.4%; A 42.0%; MPI 0.069**
National MPI survey comparison	**24.85% (2015–16) → 14.96% (2019–21)**
National MPI extrapolated estimates	**29.17% (2013–14) → 11.28% (2022–23)**

- **June 2025 World Bank revision:** extreme-poverty line **$3.00/day**, lower-middle-income **$4.20**, upper-middle-income **$8.30**, all **2021 PPP**. $2.15 (2017 PPP) and $1.90 (2011 PPP) are older benchmarks; PPP dollars are not market-exchange-rate dollars. World Bank revision, 2026 India update
- **Global MPI India:** roughly **235.74 million poor**, using 2023 population with **2019–21 survey**; **415 million** exited poverty **2005–06 to 2019–21**. Report year ≠ survey year; do not compare global-MPI incidence directly with a different-year monetary measure. India profile
- **National MPI: NITI Aayog; 3 dimensions / 12 indicators**, adds **maternal health and bank account** to an adapted global framework. NFHS-4 **2015–16** baseline; NFHS-5 **2019–21** follow-up. Global and national thresholds/weights are not identical.
- NITI discussion paper estimates **24.82 crore exits, 2013–14 to 2022–23**; **29.17 / 11.28 are extrapolated endpoints**, not direct NFHS observations for those years. Largest absolute reductions: **UP 5.94 crore; Bihar 3.77; MP 2.30; Rajasthan 1.87**. NITI discussion paper
- Poverty decline may reflect better consumption, infrastructure and human development; single causes cannot be established from headline ratios alone. The book's old **61.6%, 1977** claim lacks a comparable series and is not a reliable universal historical maximum.

6. Evolution of India's poverty estimates

Estimate / committee	Core contribution
Dadabhai Naoroji	Subsistence calculation; book *Poverty and Un-British Rule in India*; **₹16–35/person/year at 1867–68 prices** (historical range)
National Planning Committee, 1938; Nehru	Minimum living standard; **₹15–25/person/month**, pre-war prices
Bombay Plan, 1944	**₹75/person/year**, historical minimum
Dandekar–Rath, 1971	**2,250 kcal/person/day**; consumption surveys 1960–61; book estimates rural **40%**, urban **50%**
Y. K. Alagh task force, 1977 / report 1979	1973–74 basket; **2,400 kcal rural / 2,100 urban**; assumed publicly provided health/education
D. T. Lakdawala, 1989 / report 1993	State-specific lines; calorie-linked basket; **URP**; rural **CPI-AL**, urban **CPI-IW** updates
Suresh Tendulkar, 2005 / report 2009	**MRP**, common urban-reference basket with spatial prices; includes private health/education; moves away from direct calorie anchoring
C. Rangarajan, 2012 / report 2014	**MMRP**, separate rural/urban baskets; explicit calories/protein/fat plus non-food needs

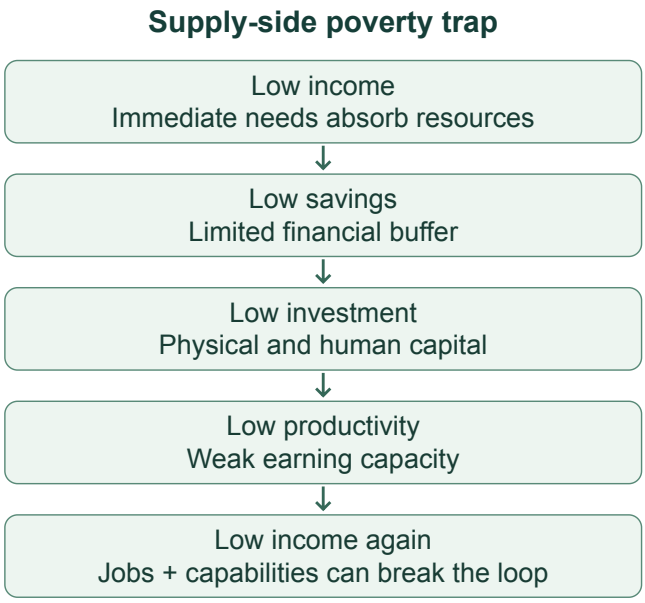
- Early studies differed in coverage, thresholds and method. Source tabulates **Minhas 65% (1956–57), M. S. Ahluwalia 39% (1960–61), P. D. Ojha 44% (1960–61), P. K. Bardhan 54% (1968–69)**; original coverage/year attributions are not independently established here. Retain as book claims, **not a comparable national trend**.
- **Lakdawala 54.9% = 1973–74 all-India estimate**, not incidence in the committee's report year.
- **2004–05:** old all-India **URP 27.5%**, MRP **21.8%**; **28.3% is rural URP**, not all India. Tendulkar **37.2%** uses a revised basket/price method; higher level does not mean poverty actually rose because a committee changed. Official older estimates, Tendulkar report

7. Tendulkar versus Rangarajan: compare the same year

Feature	Tendulkar	Rangarajan
Report	2009	2014
Recall	MRP	MMRP
Reference basket	Common urban-reference basket	Separate rural / urban baskets
Nutrition	No direct calorie anchoring	Calories + protein + fat norms
2011–12 monthly line/person	Rural **₹816**; urban **₹1,000**	Rural **₹972**; urban **₹1,407**
All-India HCR 2009–10	**29.8%**	**38.2%**
All-India HCR 2011–12	**21.9%**	**29.5%**
Reduction	**7.9 percentage points**	**8.7 percentage points**

- Rangarajan also uses **per-capita monthly expenditure**; family-of-five equivalents **₹4,860 rural / ₹7,035 urban** do not make it a fundamentally household-only measure. The book's individual-versus-family distinction is false.
- These are **2011–12 prices**, not today's living-cost thresholds. Rangarajan's higher ratio comes from a different standard/method, not evidence of a reversal in the same-year economic reality. Government account

8. Poverty trap and escape routes



Low income feeds back through weak investment and productivity.

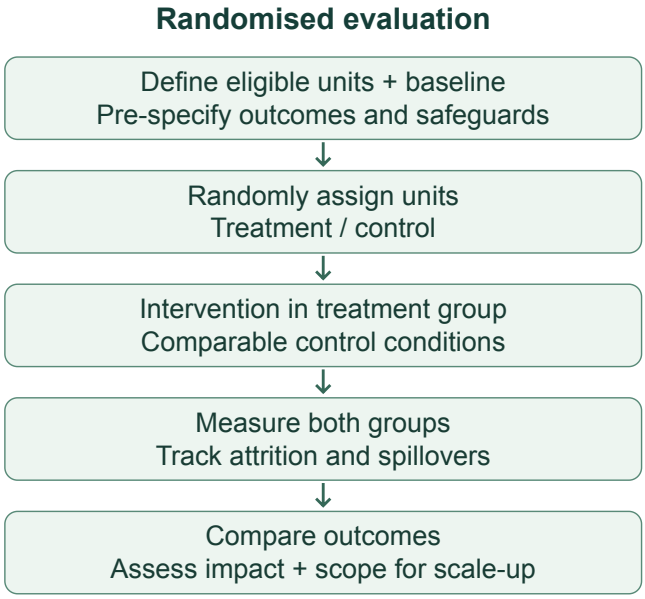
- **Supply side:** low income → low saving → weak physical/human-capital investment → low productivity → low income.
- **Demand side:** low purchasing power → small market → weak investment incentives → low productivity/income. Savings tend to rise with income (**$S = f(Y), f' > 0$**), other things equal; poor households face immediate needs and shocks.
- Education/health deficits hinder skills, adoption and opportunity. Coordinated **"big push"**: health/nutrition, education/skills, infrastructure, productive jobs, financial access, social protection and accountable institutions.
- Population pressure is mediated by education, reproductive health and opportunities; growth need not automatically exclude people or inevitably trap poor countries.
- **BPL identification ≠ estimating poverty incidence.** SECC **2011** deprivation data informs welfare targeting alongside scheme-specific lists; Census **2027**, planned digital/caste enumeration, is not automatically a new monetary-poverty survey or guaranteed replacement of every beneficiary list. Census framework

9. Sen: capability approach and poverty index

- **Capability:** real freedom/opportunity to achieve valued lives; **functioning:** actual achievement, e.g. being nourished, educated or mobile. Income is a means; disability, discrimination or poor services affect conversion into wellbeing.
- Poverty = **capability deprivation**; empowerment and enabling conditions matter. The book's claim that Sen rejects welfare is too absolute: public health, education and protection can expand capabilities.
- Critiques: selecting/weighting capabilities, data gaps, implementation and insufficient attention to collective institutions in some applications; people-focused does not mean society is irrelevant.
- **Sen poverty index, 1976:** commonly expressed **$S = H[I + (1 - I)G_p]$**. **H:** fraction poor; **I:** mean proportional gap **among poor**; **G_p:** Gini of income/consumption **among poor**, not overall population Gini. Combines incidence, depth and inequality; avoid substituting P_1 for I. OPHI on Sen

10. Randomised controlled trials

- Randomly allocate eligible units to **treatment** and **control**; compare outcomes to estimate a programme's causal impact. Random sampling and random treatment assignment are different.
- Example: additional teachers randomly assigned across schools; compare learning outcomes under a pre-specified design, account for clustering and spillovers.



Random assignment enables causal evaluation under a sound design.

- **2019 Economics laureates: Abhijit Banerjee, Esther Duflo, Michael Kremer**, for experimental work on global poverty. Nobel account
- Strength: tests what works and for whom. Limits: ethics/consent, attrition, spillovers, cost, short follow-up and whether local effects generalise or survive scale-up; not every policy is suitable for randomisation.

11. Bare Necessities Index and IBSA Fund

- **BNI, Economic Survey 2020–21: 26 indicators / five dimensions—water, sanitation, housing, micro-environment, other facilities**; includes basic electricity/cooking access. Uses NSO **2012 and 2018** surveys; distinct from MPI's poverty cutoff/weights. Survey chapter
- **IBSA = India, Brazil, South Africa**; poverty/hunger development projects through South–South cooperation. **2017 trust-fund agreement**; each country's annual **US$1 million** contribution is the source's arrangement; fund administered through UN South–South machinery. Book **India US$15.1 million cumulative** is a dated total, not current contribution. IBSA reports

12. Universal Basic Income

- **Periodic cash payment to individuals, universal and unconditional**, without means/work test. **Universality + unconditionality + agency**; agency means recipients choose spending. Targeted cash assistance/DBT is not automatically UBI.
- **Economic Survey 2016–17 proposal:** illustration **₹7,620/person/year**, **75% quasi-universal coverage**, cost **4.9% GDP**; not a fully universal programme or a current expenditure commitment. Book's **~950 schemes / ~5.2% GDP** comparison is from that historical policy debate. Survey calculation

Potential gain	Design challenge
Recipient choice / dignity	Adequacy, inflation indexing and predictable payment
Fewer targeting errors	Fiscal cost; richer people also receive transfers
Simpler cash delivery	Banking access, JAM reliability, grievance/backup channels
Consumption smoothing / shock buffer	Cannot itself create jobs or public services
Less leakage / stronger inclusion	Authentication exclusion, fraud, cash-out costs
Support amid technological change	Labour-market effects vary; not guaranteed unemployment cure

- **JAM:** Jan Dhan–Aadhaar–Mobile; operational access and safeguards matter, not merely account opening. Agree Centre–State finance, ensure rural banking capacity and payment reliability.
- **Replacement or complement?** Replacing health/education/nutrition with cash can remove essential services; retaining every scheme plus UBI raises cost. A single failed channel becomes dangerous if all other support is withdrawn.
- Claims of alcohol/gambling misuse or universal work withdrawal require evidence; book's **2011 Madhya Pradesh pilot** cannot establish effects of a national permanent scheme.
- Canada, Brazil, Iran and other experiments/transfers differ in universality/conditions; do not label all as full UBI. Evaluate adequacy, sustainable financing, public-service protection, pilots and independent outcomes before scale-up.

13. PYQs and answer cues

- **Prelims 2019:** State poverty lines differ because **price levels vary—(b)**; incidence, GSDP and PDS quality are not the direct price-adjustment explanation.
- **Prelims 2012:** MPI covers **household education/health/assets/services deprivation—statement 1 only, (a)**; not national PPP or budget-deficit/GDP-growth measurement.
- **Mains framework:** define the measure → identify jobs/capability/exclusion/shock channels → combine productive opportunity and public services → accessible protection → evaluate outcomes using comparable periods/methods.
- Recall: **line ≠ ratio; incidence ≠ depth; MPI ≠ monetary poverty; survey year ≠ report year; estimate ≠ beneficiary list; percentage points ≠ percent; UBI ≠ every cash transfer.**